Perhaps you have been involved in the stock market long enough to remember when the Value Line index was popular. No one talks about the Value Line index any more. Today it is simply dismissed as being "no longer representative" of the stock market. Why is that?

The VLC was big back in 1968, when it continued to plow to new highs while the Dow lagged. It was out of favor in 1972-1973, when the Dow and S&P rose on the strength of half a hundred "growth stocks" while the average stock languished. It regained favor when it continued to surge after the Dow topped in 1976. You might be interested to know that the first stock index futures contract ever created was on the Value Line index, in 1982.

Since 1987, the Value Line index has been ignored or dismissed, just as it was in 1972, and for the same reason: If the message from an index is not bullish, no one wants to hear about it. As Figure 8-4 shows, the real bull market in the average stock took place from

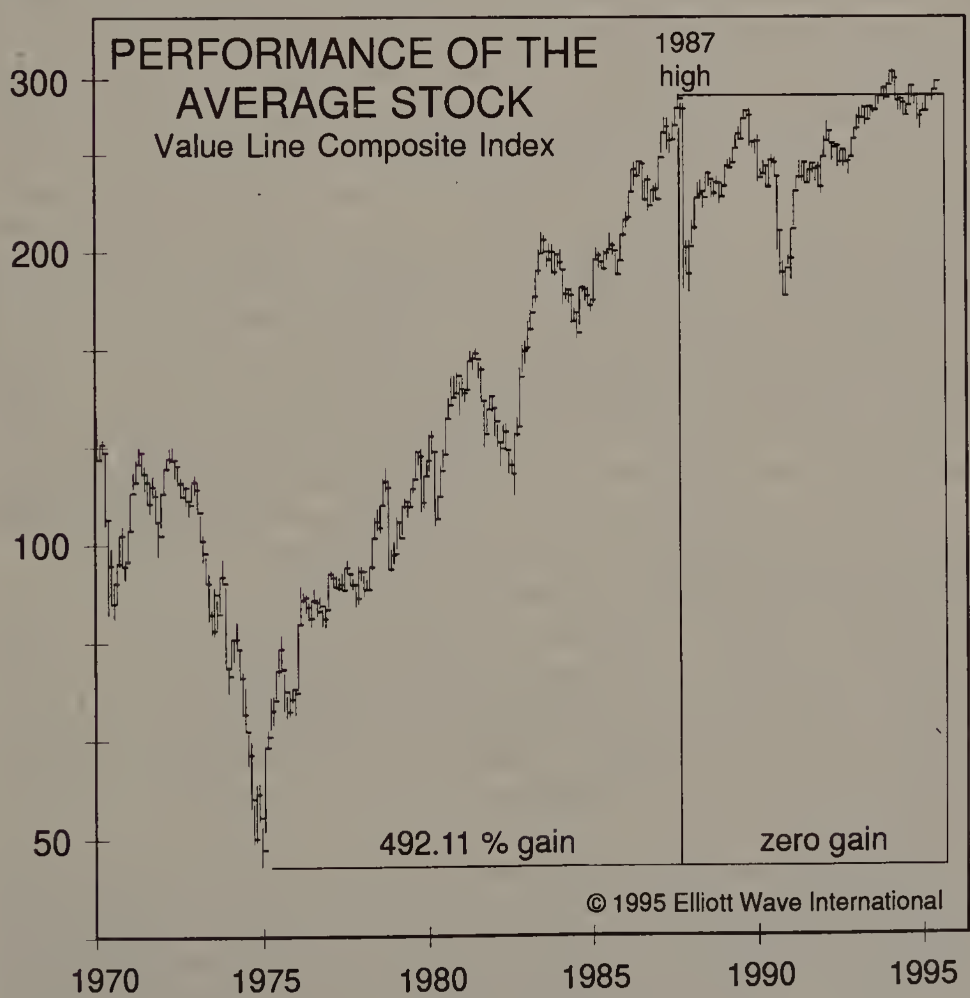

Figure 8-4